

specific insurance policy. For example, most health insurance plans do not cover cosmetic procedures or beauty treatments. If you're not sure what your plan covers, examine your policy details online, review the benefits booklet that you receive when you enroll in your plan, or call your plan provider.

You have to pay your insurance premium every month, regardless of whether or not your insurer ends up helping you pay for any services. So, essentially, you pay for insurance *just in case* something goes wrong. This is both a bad thing and a good thing. If you go 10 years without ever getting in any sort of accident or situation where you need to use insurance coverage, you have basically just been giving your insurance provider free money. If, however, you do get into an accident and are looking at an expensive bill to repair your car or other damages, you will be glad that you have insurance to help you out.

Premiums and Deductibles

Whether you're dealing with health insurance or car insurance, you need to understand premiums and deductibles and the relationship between them. While a premium is the monthly amount you need to pay for insurance coverage, a **deductible** is the amount you need to pay each year for covered services out of your own pocket before your insurance company begins to help you out. For example, if you have a \$500 deductible for your auto insurance, that means if you have an accident, you will need to pay \$500 worth of the damages before your insurance company will step in and start paying. So if the accident caused \$1,000 worth of damages, you would have to pay the \$500 deductible, and your insurance provider would pay the remaining \$500.